Pacific Equity Strategy: Quantitative Net-Zero Transition

To the Investment Committee

1. Your Objective: Performance and Climate Resilience As an institutional investor, your mandate is to protect your capital from climate risks, particularly stranded assets, while ensuring long-term growth for your beneficiaries. The core challenge is to decarbonize your allocation without ever sacrificing your returns or your risk budget.

2. Our Strategy: Mathematical Optimization Rather than blindly excluding polluting sectors and destroying your diversification, we adopt an expert quantitative approach. We construct a portfolio that replicates the dynamics of the broad market by minimizing Tracking Error, while simultaneously imposing a strict carbon constraint. Specifically, we apply a mathematical trajectory that mandates a 10% annual reduction in your direct emissions (Scope 1).

3. The Evidence by the Numbers (2014-2025) Historically, the deployment of this strategy demonstrates that decarbonization acts as a genuine performance driver. Our model delivers clear outperformance with an annualized return of 7.70%, well ahead of the standard market's 6.72%. This excess return is achieved with perfectly controlled risk, illustrated by a tracking error limited to 3.16%, which integrates naturally within the bounds of your active management mandates.

4. Transparency: Managing Trade-offs A rigorous transition involves structural adjustments that we proactively manage. The model mechanically underweights the "old economy," such as the mining and steel industries, in favor of asset-light sectors like technology and healthcare. We monitor these sector biases rigorously to ensure the fund does not lose its diversification. Furthermore, the continuous tightening of the carbon budget requires annual reallocations, which we systematically optimize to limit the impact of transaction costs. Finally, to guarantee the reliability of our approach and avoid any look-ahead bias related to publication delays in corporate carbon footprint reports, our model relies on strict and conservative data selection rules.